CHAPTER 4

DISSOLUTION OF A PARTNERSHIP FIRM

CHAPTER ESSENCE AT A GLANCE:
Differentiate dissolution of partnership from dissolution of firm, close books through Realisation Account, and settle external and partner claims according to Section 48.

4 CORE PRINCIPLES TO UNDERSTAND FIRST

• **Dissolution of Firm vs Partnership:** Dissolution of partnership changes the economic relationship while business continues; dissolution of firm completely terminates the business, liquidating all assets and liabilities.

• **Realisation Account Closure Mechanism:** A nominal account prepared to close books: all non-cash assets are transferred at book value to debit side, external liabilities transferred to credit side, and realization proceeds recorded.

• **Statutory Settlement Priority (Section 48):** Realisation proceeds are applied strictly in order: (1) Third-party external debts, (2) Loans advanced by partners, (3) Partners' capital accounts, (4) Surplus shared as profit.

• **Treatment of Unrecorded Items:** Unrecorded assets realized are credited to Realisation Account; unrecorded liabilities paid are debited to Realisation Account.

ESSENTIAL ACCOUNTING PRINCIPLES & FINANCIAL FORMATS

$$\text{Section 48 Priority} = \text{Realisation Proceeds} \rightarrow \text{Third-Party Debts} \rightarrow \text{Partner Loans} \rightarrow \text{Capital}$$

Statutory Cash Disbursement Order

$$\text{Realisation Profit} = (\text{Sale of Assets} + \text{Partner Takover}) - (\text{Book Assets} + \text{Settled Debts} + \text{Expenses})$$

Realisation Account Net Operating Profit

$$\text{Partner Loan Settlement} \iff \text{Partner Loan A/c (Dr)} \rightarrow \text{Bank A/c (Cr)} \ [\text{Direct Settlement}]$$

Non-Transfer Partner Loan Settlement Rule

$$\text{Asset Taken by Creditor} \iff \text{Zero Journal Entry (Self-Cancelling Realisation Balance)}$$

Asset-Liability Settlement Invariant

CRUCIAL EXAM PRECAUTIONS & VALUATION RUBRIC SECRETS

• **Alert:** Cash and Bank balances are never transferred to the Realisation Account; they are recorded directly in the Cash and Bank Account.

• **Alert:** Partner Loan Account is never transferred to Realisation Account; it is paid directly through Bank Account after external third-party debts are cleared.

• **Alert:** When an asset is taken over by a creditor in full satisfaction of their claim, no journal entry is passed in books of account.

HIGH-YIELD CENTUM QUESTIONS & STEP-BY-STEP EXPLANATIONS

1. Distinguish between Dissolution of Partnership and Dissolution of Partnership Firm across two parameters. [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Continuity of Business:** In dissolution of partnership, the business continues under a reconstituted deed; in dissolution of firm, the business terminates permanently. **[1 Mark]**

• **Closure of Books:** In dissolution of partnership, books are not closed (revaluation account prepared); in dissolution of firm, all ledger accounts are permanently closed (realisation account prepared). **[1 Mark]**

2. State the rules for settlement of accounts on dissolution of firm according to Section 48 of the Indian Partnership Act 1932. [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Treatment of Losses:** Losses (including deficiencies of capital) are paid first out of profits, next out of capital, and lastly by partners individually in their profit-sharing ratio. **[1 Mark]**

• **Application of Assets:** Firm assets are applied: first in paying third-party debts, second in paying rateably partner advances, and third in paying partner capitals. Residual surplus is divided in profit-sharing ratio. **[1 Mark]**

3. Explain the purpose of preparing a Realisation Account. List any two items that are never transferred to it. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Purpose:** Prepared on dissolution of firm to realize assets, discharge external liabilities, and ascertain the net profit or loss on disposal. **[1 Mark]**

• **Non-Transferred Item 1:** Cash and Bank balances (recorded in Cash and Bank Account). **[1 Mark]**

• **Non-Transferred Item 2:** Partners' Capital and Current accounts, and Partners' Loan accounts (settled separately). **[1 Mark]**

4. Pass journal entries for the following on dissolution of firm: (a) Realisation expenses of Rs 2,500 paid by the firm, (b) Realisation expenses of Rs 3,000 paid by partner Alok on behalf of the firm, (c) Partner Ravi was appointed to look after dissolution for an agreed remuneration of Rs 5,000. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **(a) Firm Paid Expenses:** Debit Realisation $\frac{A}{c}$ Rs 2,500 and Credit Bank $\frac{A}{c}$ Rs 2,500. **[1 Mark]**

• **(b) Partner Paid Firm Expenses:** Debit Realisation $\frac{A}{c}$ Rs 3,000 and Credit Alok Capital Account Rs 3,000. **[1 Mark]**

• **(c) Remuneration to Partner:** Debit Realisation $\frac{A}{c}$ Rs 5,000 and Credit Ravi Capital Account Rs 5,000. **[1 Mark]**

5. Pass journal entries for: (a) An unrecorded computer realized Rs 4,500, (b) An unrecorded liability of Rs 2,000 paid by the firm, (c) Creditors of Rs 30,000 accepted stock valued at Rs 28,000 in full settlement. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **(a) Unrecorded Asset Realized:** Debit Bank $\frac{A}{c}$ Rs 4,500 and Credit Realisation $\frac{A}{c}$ Rs 4,500. **[1 Mark]**

• **(b) Unrecorded Liability Settled:** Debit Realisation $\frac{A}{c}$ Rs 2,000 and Credit Bank $\frac{A}{c}$ Rs 2,000. **[1 Mark]**

• **(c) Creditor Took Stock:** No journal entry required because both asset and liability were already transferred to Realisation Account. **[1 Mark]**

6. Explain why no entry is required when an asset is accepted by a creditor in partial or full satisfaction of their claim during dissolution. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Prior Transfer:** Both the book value of the asset and the liability to the creditor have already been transferred to Realisation Account. **[1.5 Marks]**

• **Self-Balancing:** Handing over the asset directly extinguishes the liability without involving cash, maintaining equilibrium within Realisation Account automatically. **[1.5 Marks]**

7. Book values of assets transferred to Realisation Account were Rs 1,80,000 and liabilities were Rs 60,000. Transactions during dissolution: (1) Assets realized 90 percent of book value, (2) Liabilities settled at 5 percent discount, (3) Realisation expenses were Rs 4,000. Prepare Realisation Account and determine profit or loss for partners A and B (sharing equally). **[Score: 4 Marks]**

Answer & Key Valuation Steps:

• **Debit Entries:** To Sundry Assets Rs 1,80,000; To Bank (Liabilities: Rs 60,000 - 5 percent = Rs 57,000); To Bank (Expenses) Rs 4,000. Total Debits = Rs 2,41,000. **[1.5 Marks]**

• **Credit Entries:** By Sundry Liabilities Rs 60,000; By Bank (Assets: 90 percent of Rs 1,80,000) = Rs 1,62,000. Total Credits = Rs 2,22,000. **[1.5 Marks]**

• **Balancing Loss:** Total Debits Rs 2,41,000 - Total Credits Rs 2,22,000 = Realisation Loss Rs 19,000. Transferred to A Capital Account Rs 9,500 and B Capital Account Rs 9,500. **[1 Mark]**